BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

BENCH AT ALLAHABAD

ORIGINAL COMPANY JURISDICTION

In

COMPANY PETITION NO. 03/ALD/2021
connected with
COMPANY APPLICATION NO. 226/ALD/2020
(Under Section 230-232 of the Companies Act, 2013)

Ganges Securities Limited

.....Petitioner Company No. 1/ "Transferee Company"

And

Uttar Pradesh Trading Company Limited

.....Petitioner Company No. 2/ "Transferor Company"

ORDER DELIVERED ON : 25.08.2021

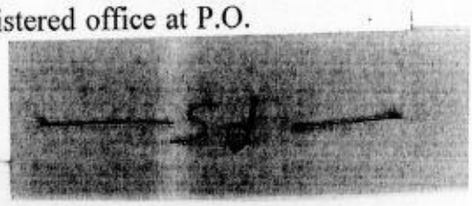
CORAM:
Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicant Companies: **Mr.Rahul Agarwal, Adv**
For the Central Government : **Mr. Kuldeep Singh, AOL**
For ROC : **Mr. Krishna Dev Vyas, Adv**

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

1. This is an application for sanctioning the Scheme of Amalgamation amongst Ganges Securities Limited (Petitioner Company No. 1/ "Transferee Company") and Uttar Pradesh Trading Company Limited (Petitioner Company No. 2/ "Transferor Company") collectively referred to as the "Transferor Companies" and their respective Shareholders and Creditors under Section 230-232 read with Section 66 and other applicable provisions of the Companies Act, 2013.
2. By the present petition, the petitioner companies have prayed for amalgamation of the Transferor Company into the Transferee Company on a going concern basis. The Scheme of Amalgamation is annexed as Annexure-1 to the petition.
3. It is stated that Ganges Securities Limited (Petitioner Company No. 1/ "Transferee Company") is a company incorporated on March 30, 2015 under the provisions of the Companies Act, 2013, having Corporate Identification Number as L74120UP2015PLC069869 and having its registered office at P.O.



Hargaon, Sitapur, UP – 261121. The main objects of the Petitioner Co. No. 1/ "Transferee Company" are set out in its Memorandum of Association which is annexed as Annexure-3 to the Company Application No. 226/ALD/2020.

4. The authorised, issued, subscribed and fully paid-up share capital of the Petitioner Company No. 1/ "Transferee Company" as on March 31, 2020 was as under:

Authorised Share Capital	**Amount (in Rs.)**
1,35,00,000 Equity Shares of INR 10/- each	13,50,00,000
4,50,000 Preference shares of INR 100/-each	4,50,00,000
Total	**18,00,00,000**
Issued, Subscribed and Fully Paid-up Share Capital	**Amount (in Rs.)**
1,00,03,687 Equity Shares of INR 10/-each	10,00,36,870
1,50,000 Preference shares of INR 100/-each	1,50,00,000
Total	**11,50,36,870**

By order dated 24 September 2020, this bench of NCLT has allowed the application filed by GSL before the Hon'ble NCLT, pursuant to the provisions of Section 55(3) of the Companies Act, 2013, for the issuance of 2,40,000 (Two Lakhs Forty Thousand), 8.5% (Eight Point Five Percent)per annum, Non-Convertible Cumulative Redeemable Preference Shares ('NCCRPS') of INR 100/- (Rupees One Hundred) each, aggregating to INR 2,40,00,000/- (Rupees Two Crore Forty Lakhs) ("Further Preference Shares") to the existing preference shareholders, being equal to the amount required to be paid by GSL to the preference shareholders, on redemption of the 12% NCCRPS was INR 1,50,00,000 (Rupees One Crore Fifty Lakhs) and on account of unpaid dividends on the NCCRPS at a rate of 12% (Twelve Percent) per annum, was INR 90,00,000 (Rupees Ninety Lakhs).

Accordingly, the share capital of GSL post issue of NCCRPS is as follows:

Authorised Share Capital	**Amount (in Rs.)**
1,35,00,000 Equity Shares of INR 10/- each	13,50,00,000
4,50,000 Preference shares of INR 100/-each	4,50,00,000
Total	**18,00,00,000**
Issued, Subscribed and Fully Paid-up Share Capital	**Amount (in Rs.)**



1,00,03,687 Equity Shares of INR 10/-each	10,00,36,870
2,40,000 Preference shares of INR 100/- each	2,40,00,000
Total	**12,40,36,870**

5. Uttar Pradesh Trading Company Limited (Petitioner Company No. 2/ "Transferor Company"), a company registered under the provisions of the Companies Act, 1931 was incorporated on February 23, 1951 and having Corporate Identification Number as U51109WB1951PLC019450. The registered office of the company is at 9/1, R.N. Mukherjee Road, 5th Floor, Kolkata, West Bengal - 700001. The main objects of the Petitioner Co. No. 2/ "Transferor Company" are set out in its Memorandum of Association which is annexed as Annexure-6 to the Company Application No. 226/ALD/2020.
6. The authorised, issued, subscribed and fully paid-up share capital of the Petitioner Company/"Transferor Company" as on March 31, 2020 was as under:

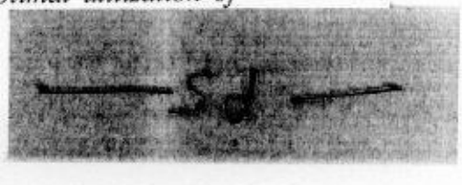
Authorised Share Capital	**Amount (in Rs.)**
16,70,00,000 Equity Shares of INR 1/- each	16,70,00,000
3,00,000 Preference Shares of INR 10/- each	30,00,000
Total	**17,00,00,000**
Issued, Subscribed and paid up Share Capital	**Amount (in Rs.)**
16,37,25,000 Equity Shares of INR 1/-each	16,37,25,000
16,36,24,995 Equity Shares of INR 1/- each	16,36,24,995
Total	**16,36,24,995**

Subsequent to March 31, 2020, there has been no change in the authorized, issued, subscribed and paid-up capital of Petitioner Company 2.

That there is a difference in Issued and Paid up Capital which was due to non-subscription of 100005 Equity shares of Re.1/- representing Right Issue offered to the shareholders in earlier year.

7. The counsel for the Petitioner Companies submitted that the amalgamation of the Transferor Company into the Transferee Company shall provide the following benefits:

   i. *The amalgamation will result in reduction in overheads, administrative and other expenditure, and bring about operational rationalization, organizational efficiency, greater efficiency in fund management and optimal utilization of*



various resources.

ii. *The amalgamation will consolidate the functional expertise of the companies involved thereby giving additional strength to the business activities of the Transferee Company.*

iii. *The proposed amalgamation will provide an opportunity to leverage combined assets and capital better, build a stronger sustainable business, improve the potential for further growth and expansion of the businesses of the two companies.*

8. The counsel submitted that in view of the above, the present Scheme proposes amalgamation of the Transferor Company into the Transferee Company on a going concern basis. It was also stated that despite the registered office of the Transferor Company being in Kolkata, the Principal Bench of this Tribunal, vide order dated 02.01.2020 has permitted a consolidated petition to be filed before the Tribunal at Allahabad. A copy of the order dated 02.01.2020 has been enclosed as Annexure 2 to CA 226/ALD/2020.

9. The counsel for the Petitioner Companies submitted that the "Transferee Company" being a listed company and the "Transferor Company" being its wholly owned subsidiary, in accordance with the provisions of CFD/DIL3/CIR/2017/21 dated 10 March, 2017 issued by the Securities and Exchange Board of India, intimation of the Scheme has been filed with the National Stock Exchange of India Limited, BSE Limited and the Calcutta Stock Exchange Limited. Copies of the letters filed with the Stock Exchanges have been enclosed as Annexure-11 to CA 226/ALD/2020.

10. That the Scheme of Amalgamation has been approved by the Board of Directors of the Petitioner Companies by passing resolutions which are annexed as Annexure C to CP (CAA) No. 03/ALD/2021.

11. It is also submitted that the Scheme does not involve any compromise with the creditors of any of the Petitioner/Transferor Companies in any manner whatsoever. As such, the Scheme does not in any manner adversely affect the interests of any of the creditors of the Petitioner/Transferor Companies. Due provisions have been made for payment of all their liabilities as and when the same fall due in the usual course.

12. Further, the Auditors of the Petitioner/Transferor Companies have not disclosed any mismanagement in their affairs. No proceedings under Sections 210 - 229 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

13. It is also stated that the Petitioner Companies have duly complied with the Accounting Standards. *Certificate from the auditors of the Petitioner Companies regarding the accounting treatment under the Scheme being in compliance with the Accounting Standards have been enclosed as Annexures 13 and 14 to the Company Application No. 226/ALD/2020.*



14. It is submitted that none of the Directors, Managing Directors or Managers of the Petitioner Companies have any material interest in the Composite Scheme, except to the extent of their shareholding in such companies.

15. A perusal of the present petition discloses that initially the Petitioner Companies have filed Company Application No. 226/ALD/2020 seeking *inter-alia* for the following directions:

    a. sanction a meeting of the Equity Shareholders of the Applicant Company 1/ Transferee Company for the purpose of considering, and if thought fit, approving with or without modification(s), the arrangement embodied in the Scheme of Amalgamation between Ganges Securities Limited ("Transferee Company") and Uttar Pradesh Trading Company Limited ("Transferor Company") and their respective shareholders and creditors;
    b. issue notice convening the said meeting at the place, date and time aforesaid, together with a copy of the Scheme, a copy of the Explanatory Statement required to be sent under Section 230 of the Companies Act, 2013;
    c. dispense with the meetings of Preference Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company 1 and Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company 2;
    d. serve notice in Form No. CAA. 3 along with copy of the Scheme of Amalgamation, Explanatory Statement and the disclosures mentioned in Rule 6 of the Rules to: (a) the Central Government through the Regional Director, Northern Region (b) the Central Government through the Regional Director, Eastern Region; (c) the Registrar of Companies, Kanpur and (d) the Registrar of Companies, Kolkata (e) the Official Liquidate (Kolkata) (f) Reserve Bank of India (g) National Stock Exchange of India Limited (h) BSE Limited (i) The Calcutta Stock Exchange Limited (j) the Income-Tax Authorities and other sectoral regulators, as may be applicable.

16. Accordingly, this Bench by order dated December 14, 2020 allowed the above mentioned prayers and dispensed with the meetings of the preference shareholders, secured creditors and unsecured creditors of the Petitioner Company No. 1/ "Transferee Company" and meetings of the equity shareholders, secured creditors and unsecured creditors of the Petitioner Company No. 2/ "Transferor Company".

17. This Bench further directed the Petitioner Companies to convene a meeting of the equity shareholders of the Petitioner Company No. 1/ "Transferee Company" on Saturday, 30 January, 2021 at 11 a.m. through Video Conferencing ("VC") / Other Audio Visual Means ("OAVM").

18. This Tribunal further directed the Petitioner Companies to serve notices upon (a) the Central Government through the Regional Director, Northern Region (b) the Central Government through the Regional Director, Eastern Region; (c) the Registrar of Companies, Kanpur; (d) the Registrar of Companies, Kolkata; (e) the Official Liquidator (Kolkata); (f) Reserve Bank of India; (g) National Stock Exchange of India Limited; (h) BSE Limited; (i) The Calcutta Stock Exchange



Limited; (j) the Income-Tax Authorities and other sectoral regulators, as may be applicable, with a direction that they may submit their representations, if any, within a period of thirty (30) days from the date of receipt of such notice to the Tribunal with a copy of such representations simultaneously being served upon the Petitioner Company, failing which, it shall be presumed that the authorities have no representations to make on the proposals.

19. Pursuant to the order dated December 14, 2020, the Petitioner/Transferor Companies:

i. on 30 December, 2020, sent the notices of the meeting of the Equity Shareholders to 3950 (Three Thousand Nine Hundred and Fifty) shareholders as per the directions provided in the Order dated 14 December 2020, through electronic mode i.e. e-mail address registered with the DP and as per the records of the Petitioner Company 1;

ii. on 31 December, 2020, advertised the notice of the meetings of Equity Shareholders in the newspapers i.e. 'Business Standard' in English and in Hindi, both having circulation in the District Sitapur;

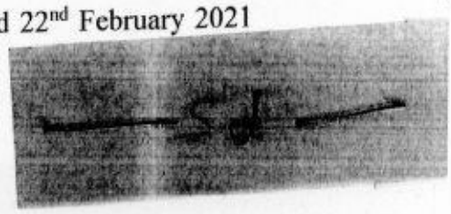
iii. on 30 December, 2020, served the notice along with a copy of the Scheme and explanatory statement under Section 230(3) of the Companies Act, 2013 and Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 to: (a) National Stock Exchange of India Limited; (b) BSE Limited; (c) The Calcutta Stock Exchange Limited;

iv. on 31 December, 2020, served the notice along with a copy of the Scheme and explanatory statement under Section 230(3) of the Companies Act, 2013 and Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 to: (a) the Central Government through the Regional Director, Northern Region; (b) the Central Government through the Regional Director, Eastern Region; (c) the Registrar of Companies, Kanpur; (d) the Registrar of Companies, Kolkata; (e) Reserve Bank of India; and (f) the Income-Tax Authorities.

v. on 1 January, 2021, served the notice along with a copy of the Scheme and explanatory statement under Section 230(3) of the Companies Act, 2013 and Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 to the Official Liquidator (Kolkata).

The petitioner companies have filed an affidavit of service of the Chairman appointed of the meeting on 15.01.2021, bringing these notices on record.

20. On 30 January 2021 at 11 A.M., a meeting of the Equity Shareholders of the Petitioner Company 1 was convened through VC/OAVM under the Chairmanship of Mr. Rahul Chaudhary, Advocate, who by his report dated 22nd February 2021



reported that the Scheme has been approved by the Equity Shareholders of Petitioner Company 1.

21. On 27.02.2021, the Petitioner Companies filed the Second Motion petition being Company Petition No. 03/ALD/2021. The Bench directed the Petitioner/Transferor Companies to serve notices upon the statutory authorities for filing their representation and also directed to effect paper publication in "Business Standard" in English and in Hindi, both having wide circulation in District Sitapur. The Petitioner/Transferor Companies complied with the directions and filed an affidavit of service on 07.07.2021.

22. This Tribunal has perused the response received from Regional Director (Northern Region), the Regional Director (Eastern Region), Ministry of Corporate Affairs, New Delhi along with the report of the Registrar of Companies, Kanpur and the Registrar of Companies, Kolkata, as also the report of the Official Liquidator, Kolkata and the Income Tax authorities.

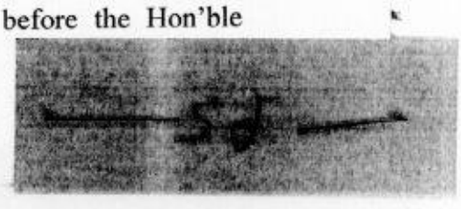
23. The Regional Director, Northern Region has made the following observations in its affidavit:

    (i) Para 10.2 of the Scheme of Amalgamation refers to regulatory action initiated by SEBI, in respect of which an appeal is presently pending before the Supreme Court of India. The views of SEBI may therefore be obtained as penalty imposed by SEBI has not been stayed.

    (ii) The Transferee Company is carrying on the business of being a Non Banking Financial Company without approval of RBI and therefore, the opinion of RBI may be obtained on the Scheme of Amalgamation.

    (iii) Para 25 of the Scheme of Amalgamation refers to disputes in respect of the Scheme being settled through arbitration. Such a clause is outside the purview of Section 230-232 of the Companies Act and therefore such paragraph may be deleted from the Scheme.

24. The Petitioner Companies have submitted a reply affidavit on 21.02.2021 to the report of the Regional Director (Northern Region). The Counsel for the Petitioner Companies, while responding to the above observations made by the Regional Director (Northern Region) submitted that Regulatory action initiated by SEBI and the fact that the same is presently pending before The Hon'ble Supreme Court of India has been specifically disclosed in the Scheme, with Clause 10.1 and 10.3 of the Scheme specifically providing for transfer of all legal proceedings including the appeal pending before the Hon'ble Supreme Court to the Transferee Company. The Counsel further referred to the judgment of the Hon'ble High Court of Gujarat in the case of *Aangi Shares & Services (P) Ltd., In re* [2012] 22 taxmann.com 17 (Gujarat), submitting that pendency of legal proceedings before the Hon'ble



Supreme Court stemming from the regulatory action initiated by SEBI is not an impediment to the sanction of the Scheme. It has no impact on the working of the Scheme and therefore, there is no need to obtain views from SEBI only because in the past, regulatory action was initiated and penalty imposed by it.

25. With reference to para no. 11(b) of the report, the Counsel submitted that although the Transferee Company qualifies as a Core Investment Company as per RBI norms, it is not required to be registered as a Systematically Important Core Investment Company or as a Non-Banking Finance Company ('NBFC') with the RBI as the Transferee Company's total assets does not exceed INR 100 crores. The Counsel further submitted that the RBI has already had occasion to examine the Scheme of Amalgamation, and has issued its no-objection dated 31.07.2020 to the Scheme which had already been annexed as Annexure 12 to CA 226/ALD/2020, which the same has not been considered by the Regional Director (Northern Region) in its report.

26. Referring to para no. 11(c) of the report, the Counsel stated that various clauses of the Scheme relate to various aspects of the business of the Transferor and Transferee Company and therefore may be governed by provisions of some other law in India and therefore, there is no bar in the Companies Act, 2013 from giving reference to other laws of the land in the Scheme. Accordingly, no modification or amendment to the instant Scheme of Amalgamation should be required with respect to Para 25 of the Scheme.

27. The Counsel further submitted that similar objection has not been raised by the Regional Director, Eastern Region, in his Report. The Regional Director, Eastern Region, has also in the past approved the Scheme of Arrangement between OSD Coke Private Limited with Finewood Nirman Private Limited and OSD Coke Manufacturing Private Limited with a similar clause.

28. The Regional Director, Eastern Region has also made observations in its affidavit, which have been responded to by the Petitioner Companies by filing a reply affidavit on 21.02.2021. The principal objection raised in this report is that the six month time frame granted by the RBI to initiate the process of merger had been exceeded. The Counsel for the Petitioner/Transferor Companies, while responding to the observations made by the Regional Director (Eastern Region) submitted that the process of merger had been initiated within a period of 6 months from the date of the No Objection Certificate dated July 31, 2020 issued by the Reserve Bank of India, by filing a Company Application No. 226/ALD/2020 with this Hon'ble Tribunal on November 9, 2020. The Counsel stated that notices were served upon the Reserve Bank of India, Department of Non-Banking Supervision as per the directions of this Hon'ble Tribunal on 30 December, 2020, and 26 March, 2021.



The Counsel further stated that due to the outbreak of the Corona-19 pandemic, which has been recognized in various orders passed by the Hon'ble Supreme Court in Suo Moto Writ Petition No. 30/2020, all time lines stand shifted and the No Objection Letter issued by the Reserve Bank of India may be taken to have been issued post the initiation of the stop clock on the period of limitations (i.e. 15 March, 2020) and therefore, the period of limitation of 6 months as provided in the No Objection Letter cannot be said to even have started.

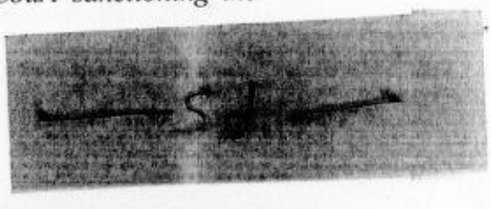
29. The Counsel further stated that as pointed out by the Regional Director (Eastern Region) in para nos. 2(d) and 2(e) of the report, the Petitioner companies undertake to comply with the provisions of Section 232(3)(i), and also undertake to pay the applicable stamp duty on transfer of immovable property from the Transferor Company to the Transferee Company.

30. Referring to para no. 2(f) of the report, the Counsel submitted that Indian Accounting Standard ('IND-AS') 103 is applicable to be Transferee Company and therefore as provided in Clause 6 of the Scheme, the amalgamation will be accounted for in the books of the Transferee Company as per the 'Pooling of Interest Method', as described in Appendix C of Indian Accounting Standard (IND AS) – 103 "Business Combination" notified under Section 133 of the Act or other applicable provisions of the Act and read with relevant rules issued thereunder.

31. The report of the Registrar of Companies, Kanpur, the report of the Registrar of Companies, Kolkata and the Official Liquidator (Kolkata) do not raise any substantial objection to the Scheme of Arrangement. The Assessing Authority of the Transferor Company, being Income Tax Officer Ward 6(2), Kolkata has communicated its no objection dated 13.08.2021 to the Scheme to this Tribunal. The assessing authority of the Transferee Company did not file its reply in the matter, despite, as noted above, being served with notices twice – in January and March 2021.

32. From the submissions made above, this Tribunal finds that the objection raised by the Regional Director (Northern Region) in para no. 11(a) of the report are not warranted. The Hon'ble Gujarat High Court, in *Aangi Shares & Services (P) Ltd., In re* [2012] 22 taxmann.com 17 (Gujarat), has observed as under:

> *"Without prejudice, it is stated on behalf of the petitioner that assuming without admitting that any of the petitioner company has made any breach of any of the provisions of the Companies Act, 1956, such breach would not affect the scheme of amalgamation. In case the competent authority finds the breach, it is always open for the competent authority under the Act to take necessary action in accordance with law. The rights and contention of the concerned authority as also of the petitioner companies, as the case may be, shall remain open and the order of this Court sanctioning the scheme may not conclude the issue."*



In light of the observations made by the Hon'ble Gujarat High Court, the proceedings pending before the Hon'ble Supreme Court arising out of the regulatory action initiated by SEBI shall continue as before. This Tribunal cannot conclude the issue pending before the Hon'ble Supreme Court. At the same time, pendency of legal proceedings before the Hon'ble Supreme Court stemming from regulatory action initiated by SEBI is not an impediment to the sanction of the Scheme and there is no reason to refer the Scheme to SEBI for its opinion only because it had, in the past, taken regulatory action against one of the companies.

33. On the objection raised in para no. 11(b) of the report of the Regional Director (Northern Region), this Tribunal finds that the no-objection certificate has already been obtained from the Reserve Bank of India on 31.07.2020 for the present Scheme of Amalgamation. The petitioner companies have given full details of their assets and relevant affairs in the reply affidavit to indicate the non-requirement of registration of the Transferee Company as a Non-Banking Finance Company. The Reserve Bank of India would have examined the affairs of both the petitioner companies before issuing its no-objection dated 31.07.2020. This no objection dated 31.07.2020 has not been considered by the Regional Director (Northern Region) in its report. Accordingly, the observation made in para no. 11(b) lacks substance. No purpose would be served in once again requiring the Reserve Bank of India to examine the Scheme and comment upon it.

34. With reference to the objection raised in para no. 11(c), this Tribunal finds that no amendment is necessary with respect to para 25 of the Scheme as the Companies Act, 2013 does not prohibit giving reference to other applicable laws in the Scheme, as different clauses of the Scheme relate to different aspects of the businesses of the petitioner companies. The power of this Tribunal to issue further directions as may be required remains intact, and nothing in the Scheme can take away this power of the Tribunal. The arbitration clause will have to be read in context, and its mere incorporation will not detract from the applicability of Sections 230-232 of the Companies Act, 2013.

35. From the submissions made above by the Counsel with respect to the objection raised in para no. 2(c) of the report of the Regional Director (Eastern Region), this Tribunal finds that the Petitioner Companies had initiated the process of amalgamation within the six month period given in the NOC issued by the Reserve Bank of India dated 31.07.2020, by filing CA 226/ALD/2020 in November, 2020. Some delay would have arisen in the initiation of proceedings and thereafter the entire process of sanction of the Scheme of Amalgamation got derailed on account of the outbreak of the Covid-19 pandemic, which has been recognized also by the Hon'ble Supreme Court by its orders passed in Suo Moto



Writ Petition No. 30/2020. This Tribunal would take a liberal view of the timelines indicated in the no-objection dated 31.07.2020 issued by the Reserve Bank of India and observe that non-compliance with the six month period indicated therein would not mean that the entire matter has to be referred again to the Reserve Bank of India.

36. This Tribunal finds that the other objections raised in the report of the Regional Director (Eastern Region), pertaining to payment of stamp duty (if any), accounting standards etc. stand complied with. On the objections raised in para no. 2(j) of this report, this Tribunal finds that as per clause 10.1 and 15.1 of the Scheme, the same specifically provides that all tax liabilities, pending legal proceedings and ongoing tax proceedings of the Transferor Company shall be transferred to the Transferee Company. Even the assessing authority of the Transferee Company has communicated its no-objection to the Scheme of Amalgamation.

37. This Tribunal is satisfied that all the statutory compliances have been carried out. Therefore, the present Petition deserves to be allowed in terms of its Prayer clause.

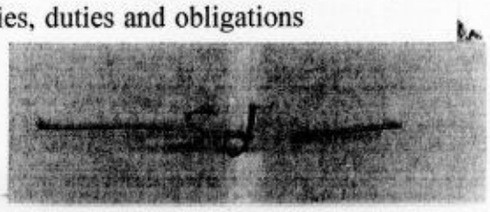
38. In the result, the Scheme of Amalgamation annexed as Annexure-1 to CP (CAA) No. 3/ALD/2021 is duly approved and hereby sanctioned. Petitioner Companies to act upon as per terms and conditions of the sanctioned Scheme of Amalgamation and the same to be binding upon the shareholders, secured creditors and unsecured creditors of the above-named Companies with effect from the appointed date.

39. In view of the facts stated above, the following orders are passed:-

i. The Scheme of Amalgamation amongst GANGES SECURITIES LIMITED (Petitioner Company No. 1/ "Transferee Company"); UTTAR PRADESH TRADING COMPANY LIMITED (Petitioner Company No. 2/ "Transferor Company") is hereby approved and sanctioned.

ii. Upon this Scheme becoming effective, all the property, rights and powers of the Petitioner Company 2 shall without further act or deed be transferred to the Petitioner Company 1 from the Appointed Date (closing hours of 1st day of April, 2020) and accordingly, the same shall, pursuant to Section 232(4) of the Companies Act, 2013, be transferred to and vest in the Petitioner Company 1;

iii. Upon this Scheme becoming effective, all the debts, liabilities, duties and obligations of the Petitioner Company 2 shall without further act or deed be transferred to the Petitioner Company 1 from the said Appointed Date, and, accordingly, the same shall, pursuant to Section 232(4) of the Companies Act, 2013, be transferred to and become the debts, liabilities, duties and obligations of the Petitioner Company 1;



iv. Upon this Scheme becoming effective, all the employees of the Petitioner Company 2 shall be transferred to the Petitioner Company 1 as provided in the Scheme of Amalgamation;

v. Upon this Scheme becoming effective, all proceedings and/or suits and/or appeals now pending by or against the Petitioner Company 2 be continued by or against the Petitioner Company 1 as provided in the Scheme of Amalgamation;

vi. Upon this Scheme becoming effective, the entire paid-up equity share capital of the Petitioner Company 2 shall be held by the Petitioner Company 1. Therefore, upon the Scheme being effective, the entire Issued, Subscribed and Paid up share capital of the Petitioner Company 2 shall, ipso facto, without any further application, act or deed stand cancelled, and no shares of the Petitioner Company 1 will be issued or allotted with respect to the Equity Shares held by the Petitioner Company 1 in the Petitioner Company 2 in consideration for the amalgamation;

vii. Petitioner companies are granted leave to file the Schedule of Assets within a period of one month from the date on which final orders are pronounced by the Tribunal on this petition;

viii. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy thereof to be delivered to the Registrar of Companies for registration in terms of Section 230-232 of the Companies Act, 2013 read with National Company Law Tribunal Rules, 2016 along with The Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

ix. Any person shall be at liberty to apply to the NCLT in the above matter for any directions that may be necessary;

In view of the above mentioned directions, the Company Petition bearing No. 03/ALD/ 2021 is accordingly, disposed off.



JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date: 25.08.2021

Swati Gupta
(LRA)